

Invitation to Consult on Possible Retrenchment

(via BambooHR)

Date:

To: Bongani Nyoni

Written Notice in terms of Section 189(3) of the Labour Relations Act 66 of 1995 (LRA): Invitation to Consult on Possible Retrenchment.

Due to operational reasons, we need to consider the possibility of retrenching staff. The reason for this has nothing to do with your or other employees' performance or conduct at work, but rather is due to reasons set out below.

In terms of section 189(3) of the LRA, we invite you to consult with us over your possible retrenchment, in order that we may attempt to reach agreement on the issues surrounding the possible retrenchment.

Set out below is the relevant information required by section 189(3) of the LRA in order to place you in a position to conduct meaningful consultations.

Reason for the proposed retrenchment:

Structural reasons related to the redundancy of posts due to the restructure of the business

Number of employees likely to be affected:

It is anticipated that 7 employees will be retrenched. The following job categories are affected:

Category: Senior Backend Developer (E2 on career ladder) – No. of employees to be retrenched: 2

Category: Client Success Manager (E3 on career ladder) – No. of employees to be retrenched: 1

Category: Team Lead – Investor Services (L2 on career ladder) – No. of employees to be retrenched: 1

Category: Senior Automation Quality Engineer (E3 on career ladder) – No. of employees to be retrenched: 1

Category: Senior QA Engineer (E2 on career ladder) – No. of employees to be retrenched: 1

Category: Marketing Director (L4 on career ladder) – No. of employees to be retrenched: 1

Proposed method for selecting the employees to be retrenched:

We propose selecting employees for retrenchment, within each job category, on the basis of the following criteria:



Role Criticality, where employees are assessed as having comparable levels of role criticality, the principle of Last In, First Out (LIFO) will be applied.

Alternatives considered:

We have considered the following alternatives to retrenchment, which you may elect to accept (this will be discussed further in our consultation meeting if required):

- Redeployment to a suitable alternative position within the company, where available.
- Reduction in working hours or implementation of short-time arrangements.
- Temporary or permanent reduction in remuneration or benefits, by mutual agreement.
- Voluntary retrenchment or voluntary separation packages.
- Natural attrition and freezing of recruitment for vacant positions

The alternatives have been considered and have been rejected for the following reasons:

- Reduction in working hours or implementation of short-time arrangements.
Rejection reason: The reduction in work is permanent rather than temporary, making short-time commercially unsustainable.
- Natural attrition and freezing of recruitment for vacant positions
Rejection reason: Insufficient to achieve the required cost reductions or organisational restructuring.

We will consider any proposed alternatives put forward by yourself.

Effective date of proposed retrenchment:

It is anticipated that the retrenchment will take effect from 01/08/2026. If you are retrenched, you will receive notice in terms of your contract of employment, company policy, or the Basic Conditions of Employment Act 75 of 1997 (BCEA), whichever is applicable, during which period you may be required to work.

Severance Pay:

The BCEA stipulates severance pay of at least one week's remuneration per completed year of continuous service, and in the event of your retrenchment this will be paid to you. Special tax rates apply to severance benefits. To qualify for this, the South African Revenue Services (SARS) requires an employer to apply for a tax directive before the severance benefit is paid to an employee. We anticipate that the severance payment will be free of tax, but the final decision in this regard will be taken by SARS.

Assistance to be offered by the company:

If you are to be retrenched, we will allow you time off as reasonably required and arranged in order to attempt to find alternative employment and to attend job interviews. You will also be given a Certificate of Service and a letter of reference.

We are amenable to considering any reasonable proposal that you may wish to present in this regard and undertake to duly consider any such proposal. You will be given reasons for the



acceptance or rejection of any proposal put forward by yourself and/or alternatives that may be possible.

Possibility of future re-employment:

Should a vacancy arise in a position for which you are suitably qualified during the period of twelve months after retrenchment, you will be given an opportunity to apply for that position. It will be your duty to keep the employer informed of any change in your contact details.

Number of Employees employed:

The Employer currently employs 74 employees. 0 employees have been retrenched in the last twelve months.

Please give the above information your serious consideration and prepare any representations regarding the proposed retrenchment that you would like to put forward. We will meet with you within the next 10 business days to consult on the above retrenchment proposal. You are entitled to make representations on any of the issues, and we will consider any such representations and respond to you by no later than 20 business days. Thereafter, further meetings may take place if required, with the aim of completing the consultation process by no later than 01/08/2026.

Should you require any further information and/or clarity prior to the meeting, kindly contact Nicola Hawkins at Nicola.hawkins@sonataone.com.

Yours faithfully,

Nicola Hawkins

Nicola Hawkins
Talent and People Manager

For and on behalf of Employer



Dan Loughney
Finance Director

Employee

Signature: _____

Date: _____

